

Mineral Area Development Authority (MADA) v. Steel Authority of India Ltd.

Citation: (2024) 8 SCC 1 | Court: Supreme Court | Year: 2024

Coram: 9-Judge Constitution Bench (8:1 Majority) | Subject: Constitutional & Tax Law | Provisions: Seventh Schedule List II Entry 50, MMDR A

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Royalty paid under the Mines and Minerals (Development and Regulation) Act, 1957 is NOT a tax. State legislatures possess sovereign plenary constitutional power under Entry 50 of List II (State List) to levy taxes on mineral-bearing lands, upholding the constitutional architecture of fiscal federalism.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Seventh Schedule List II Entry 50, MMDR Act 1957. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€¢ Whether the impugned state actions or commercial conduct conformed to Seventh Schedule List II Entry 50, MMDR Act 1957.
- â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Overruled the 1989 landmark decision in India Cements v. State of Tamil Nadu. Royalty is consideration paid by a lessee to the mineral owner for extraction rights; it lacks the core sovereign elements of a tax. Parliament's regulatory power under Entry 54 List I does not denude state taxing competence under Entry 50 List II.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€¢ Overruled India Cements (1989) by holding that royalty is not tax.
- â€¢ Affirmed State legislative authority to levy taxes on mineral rights under Entry 50 List II.
- â€¢ Strengthened fiscal federalism and state revenue autonomy under the Indian Constitution.